Air France-KLM

FY2025 · Network airline · reporting currency EUR · peer group: Network airlines

Ratings: Fitch BBB-, S&P BB+, as at 13 May 2024 (more than a year old)

Watchlist: no trigger fired; 7 clear

Credit tearsheet
12 Nov 2026
Analyst: Imane

SNAPSHOT

Air France-KLM, the network airline group spanning Air France and KLM, grew revenue by **4.9%** to **EUR 33.0bn** in FY2025, with the EBITDA margin widening by **2.2 points** to **15.3%**.

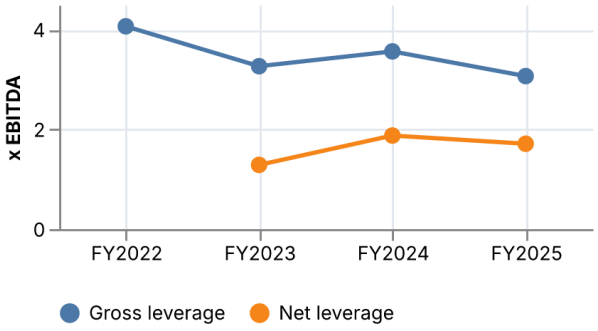
Net leverage fell by **0.17x** to **1.71x**, in line with the peer median, even as net debt rose by **12.3%** to **EUR 8.7bn**.

The point to watch is cash liquidity: cash liquidity to revenue fell by **1.2 points** to **20.8%**, below the peer median, while capex intensity rose by **1.6 points** to **13.5%**.

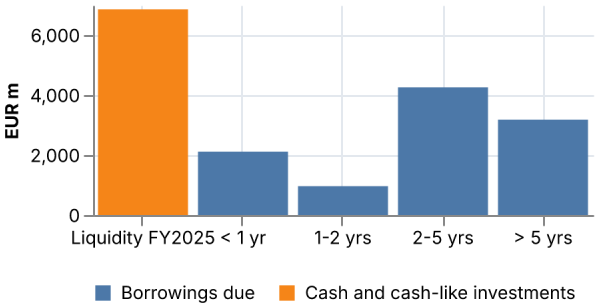
KEY FIGURES

	FY2022	FY2023	FY2024	FY2025
Revenue	EUR 26.4bn	EUR 30.0bn	EUR 31.5bn	EUR 33.0bn
EBITDA	EUR 3.6bn	EUR 4.2bn	EUR 4.1bn	EUR 5.1bn
EBITDA margin	13.7%	13.9%	13.1%	15.3%
Total debt	EUR 14.7bn	EUR 13.6bn	EUR 14.6bn	EUR 15.5bn
Net debt	*n.a.*	EUR 5.4bn	EUR 7.7bn	EUR 8.7bn
Net leverage	*n.a.*	1.29x	1.88x	1.71x
Gross leverage	4.07x	3.27x	3.56x	3.07x
Interest coverage	6.36x	6.96x	6.51x	8.06x
FFO to debt	20.3%	24.6%	23.4%	27.4%
Free cash flow	EUR 1.9bn	EUR 55.0m	EUR −232m	EUR 606m
FCF to debt	12.8%	0.4%	−1.6%	3.9%
FCF after leases	EUR 1.9bn	EUR −615m	EUR −1.1bn	EUR 367m
Capex intensity	11.3%	11.8%	11.9%	13.5%
Liquidity	*n.a.*	*n.a.*	*pending*	*pending*
Liquidity to revenue	*n.a.*	*n.a.*	*pending*	*pending*
Short-term debt cover	*n.a.*	*n.a.*	*pending*	*pending*

LEVERAGE



LIQUIDITY AGAINST MATURITIES



CREDIT METRICS

EBITDA increased by **23.0%** to **EUR 5.1bn**, and operating profit rose by **36.6%** to **EUR 2.0bn** as depreciation, amortisation and impairment grew by **15.6%** to **EUR 3.1bn**.

Total debt rose by **5.9%** to **EUR 15.5bn**, but gross leverage fell by **0.49x** to **3.07x** on the larger earnings base.

Interest coverage improved by **1.55x** to **8.06x**, with finance costs broadly unchanged at **EUR 627m**.

FFO rose by **24.1%** to **EUR 4.3bn**, lifting FFO to debt by **4.0 points** to **27.4%**, and free cash flow turned positive at **EUR 606m** as cash from operations grew by **44.6%** to **EUR 5.1bn**.

FCF to debt improved by **5.5 points** to **3.9%**, held back by capex of **EUR 4.4bn**, up **19.3%**.

Revenue: As reported in the income statement (IFRS tag ifrs-full:Revenue).
EBITDA: Operating profit + depreciation, amortisation and impairment, excluding the share of associates' results where the company reports it inside operating profit.
EBITDA margin: EBITDA ÷ revenue.
Total debt: Borrowings + lease liabilities, current and non-current.
Net debt: Total debt − cash and cash-like investments. Negative means net cash.
Net leverage: Net debt ÷ EBITDA. Not meaningful (n.m.) when EBITDA is zero or negative.
Gross leverage: Total debt ÷ EBITDA. n.m. when EBITDA is zero or negative.
Interest coverage: EBITDA ÷ interest expense (lease interest included); interest paid where interest expense isn't tagged, or finance costs where interest paid is printed net of interest received. n.m. when EBITDA or interest is zero or negative.
FFO to debt: FFO ÷ total debt.
Free cash flow: Cash from operations − purchases of PP&E and intangibles (cash paid).
FCF to debt: Free cash flow ÷ total debt.
FCF after leases: Cash from operations − net capex − lease principal payments − interest paid where the company shows it in financing cash flows.
Capex intensity: Purchases of PP&E and intangibles ÷ revenue.
Liquidity: Cash + cash-like investments + undrawn committed facilities.
Liquidity to revenue: Liquidity ÷ revenue.
Short-term debt cover: Liquidity ÷ debt due within one year.

OPERATING METRICS

	FY2022	FY2023	FY2024	FY2025
Passengers	*n.a.*	93.6m	98.0m	*n.a.*
Advance ticket cover	*n.a.*	46.7%	59.1%	62.2%

Revenue grew by **4.9%** to **EUR 33.0bn**, with the EBITDA margin at **15.3%** against **13.1%** in FY2024.

Capex intensity rose by **1.6 points** to **13.5%**, above the peer median of **10.4%**, as the group invested in its fleet.

In FY2024 the group carried **98.0m** passengers with a fleet of **564** aircraft at an average age of **12.1 years**.

PEERS: NETWORK AIRLINES, PEER YEAR 2025

	AF-KLM	IAG	Finnair	Median
EBITDA margin	**15.3%** (2)	23.0% (1)	13.1% (3)	15.3%
Net leverage	**1.71x** (2)	0.78x (1)	1.77x (3)	1.71x
Gross leverage	**3.07x** (2)	1.86x (1)	4.37x (3)	3.07x
Interest coverage	**8.06x** (2)	11.49x (1)	4.98x (3)	8.06x
FFO to debt	**27.4%** (2)	45.5% (1)	18.0% (3)	27.4%
FCF to debt	**3.9%** (3)	22.1% (1)	10.8% (2)	10.8%
Capex intensity	**13.5%**	10.4%	6.7%	10.4%
Cash liquidity to revenue (partial)	**20.8%** (3)	25.0% (2)	34.2% (1)	25.0%
Liquidity to revenue	*pending*	33.0% (2)	40.6% (1)	36.8%
Advance ticket cover	**62.2%** (1)	96.6% (3)	67.4% (2)	67.4%
Fuel share of costs	*n.a.*	25.1%	28.9%	27.0%
Load factor	*n.a.*	85.6% (1)	*pending*	85.6%
Fuel hedge ratio	*n.a.*	*n.a.*	*n.a.*	n.a.

Air France-KLM sits in the middle of the network group on EBITDA margin, net leverage, gross leverage, interest coverage and FFO to debt, each ranking **2nd of 3**.

Its strongest position is advance ticket cover, the lowest of the group (**1st of 3**), against a peer median of **67.4%**.

It is weakest on cash generation and liquidity, with FCF to debt against a peer median of **10.8%** (**3rd of 3**) and cash liquidity to revenue the lowest of the group (**3rd of 3**).

LIQUIDITY AND FUNDING

Cash and cash-like investments were stable at **EUR 6.9bn**, a change of **1.1%**, giving cash liquidity to revenue of **20.8%**.

Debt due within one year rose by **3.3%** to **EUR 2.8bn**, while borrowings due within two years fell by **21.5%** to **EUR 3.1bn**, so cash on hand covers the near-term maturities without new funding.

Free cash flow after lease payments turned positive at **EUR 367m**, from **EUR -1.1bn** in FY2024, taking FCF after leases to debt up by **10.0 points** to **2.4%**.

Customer prepayments rose, with contract liabilities up by **4.1%** to **EUR 4.3bn**, and advance ticket cover rose by **3.1 points** to **62.2%**, so a larger part of the cash balance is customers' prepayments.

WATCH ITEMS

- Liquidity: cash liquidity to revenue fell by **1.2 points** to **20.8%**, below the peer median of **25.0%**.
- Cash generation: FCF to debt of **3.9%** is below the peer median of **10.8%**, the weakest of the group (**3rd of 3**), with capex intensity at **13.5%** above the peer median of **10.4%**.
- Maturities: debt due within one year rose by **3.3%** to **EUR 2.8bn**, and cash flow after leases covers only **2.4%** of debt, so refinancing depends on access to the bond market, where the group placed senior unsecured bonds under its EMTN programme.
- Customer prepayments: advance ticket cover rose by **3.1 points** to **62.2%**, so a larger part of the cash balance is customers' prepayments.

ANALYST VIEW

Improving credit from a still-leveraged base. Higher EBITDA (EUR 5.1bn, margin up 2.2 points to 15.3%) took net leverage down to 1.71x and interest coverage up to 8.06x, even as net debt rose to EUR 8.7bn.
Free cash flow turned positive at EUR 606m but stays thin against the fleet programme: FCF to debt of 3.9% is the weakest of the network peers. Cash covers 20.8% of revenue, also the lowest of the group, and advance ticket sales equal 62.2% of it.
The 2025 refinancing (EMTN bonds, hybrid redemption, credit facility extended) supports the maturity profile. Further deleveraging needs EBITDA to hold above EUR 5bn while capex stays high.

Passengers: Passengers carried (airlines) or handled (airports), scope defined per company.

Advance ticket cover: Advance ticket sales ÷ cash and cash-like investments (how much of the cash is customers' prepayments).

Cash liquidity to revenue (partial): Cash liquidity ÷ revenue, without undrawn facilities.

Fuel share of costs: Fuel cost ÷ (revenue − operating profit).

Load factor: RPK ÷ ASK.

Fuel hedge ratio: Share of the next twelve months' fuel needs hedged.

pending: a figure read from the report text that has not passed every check, awaiting the analyst's review; never printed as a number.

n.a.: not available for that year.

Sources: FY2022 filing · FY2024 filing · FY2024 statements entered by hand (PDF) · FY2025 statements entered by hand (PDF) · FY2025 statements entered by hand (PDF) · report 2025.12-air-france-klm-consolidated-financial-statements-and-notes.pdf. Peers' filings and every fingerprint: Excel backup, Manifest sheet.

Manifest: 111 source figures from 11 filings and documents (SHA-256 in the Excel backup); commentary drafted by deepseek-flash, prompt draft-v7 + draft-v8 (liquidity_funding, watch_items), fact sheet 3b553c628d82; code 12f13f1436fa; exported 2026-11-12 21:39 UTC.

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